TCS2112 · Business Economics

Practical Tutorial: Costs and Business Decisions

Original synthetic reading for demonstration and independent study. It is not an official syllabus, lecture note, or assessment specification.

Learning objectives

After this reading, a learner should be able to explain the central idea, apply it to a small example, and identify at least one assumption or limitation.

1. Main idea

Fixed costs do not vary with output over a stated range; variable costs do. Marginal cost is the extra cost of one more unit. Short-run and long-run decisions differ because some inputs cannot be adjusted immediately.

2. Example and reasoning

Build a simple contribution estimate: selling price minus variable cost per unit. Then identify the sales volume needed to cover fixed costs. Treat the result as a model whose assumptions need checking.

3. A method for practice

1. State the problem and define the terms that affect the answer.
2. Write down the assumptions and information available.
3. Work through a small example and make each step visible.
4. Check the result against a second case or independent explanation.
5. Summarize what the result supports and what it does not establish.

4. Questions for study

- Explain “practical tutorial: costs and business decisions” in your own words and give a new example.
- Which assumption matters most in the example, and how would the answer change if it were false?
- Describe one common mistake and a practical way to detect it.
- Write a short checklist another learner could use to review this work.

Reflection

Separate evidence from assumptions. If a conclusion depends on information not provided here, identify what would need to be verified.